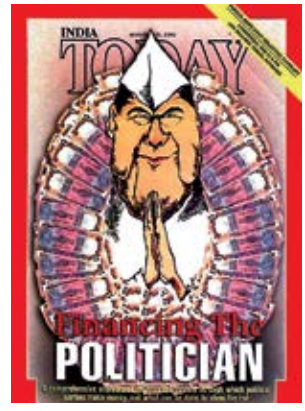
FROM THE

EDITOR-IN-CHIEF

Election funding of political parties is a messy and controversial affair in almost all democracies across the world. On February 15, the Supreme Court of India struck down the electoral bond scheme that the Modi government had notified in January 2018. The mechanism enabled a wide range of contributors, particularly corporates, to purchase these bonds in denominations ranging from Rs 1,000 to Rs 1 crore from the State Bank of India and donate it to political parties of their choice. There was no maximum donation limit. Nor did political parties need to disclose the names of the donors—they only had to declare the total amount they received. The Centre had said the bonds would end the practice of "under-the-table transactions" and reduce black money in political funding. However, in a unanimous and hard-hitting 232-page judgment, the Supreme Court dismissed that argument, drawing lines in the sand that will shape all future debates on election funding.

In ruling that the scheme was unconstitutional and antithetical to the idea of free and fair elections, the Supreme Court weighed the Right to Privacy against the Right to Information. It observed that while the privacy of donors is important, transparency cannot be achieved by absolute exemption. The apex court instructed the Election Commission of India (ECI) to make public the names of all donors by March 13, the fallout of which promises to be interesting. The SC also objected to the amendment of Section 182 of the Companies Act, 2017, which knocked off the upper limit on how much a company could donate to a political party through electoral bonds. The new rules had allowed even loss-making companies to donate. A parallel amendment via the Finance Act, 2016, extended that right to foreign companies that had subsidiaries in India. The court declared that the ability of a company to influence the election process through political contributions is much higher than an individual's. Therefore, it ruled that the scheme also violated the Right to Equality enshrined in Article 14 of the Constitution.



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The apex court's judgment has once again shone a torch on the need for a clean political funding mechanism in India. As elsewhere in the world, unaccounted-for election funds, often for quid pro quo purposes, have been the root of electoral malpractices and corruption in the country. The ECI does prescribe limits on the expenditure permitted for a candidate contesting for a Lok Sabha or legislative assembly seat. Periodically revised upwards to adjust for inflation and growth in the number of electors, a candidate for a big Lok Sabha constituency presently has a cap of Rs 95 lakh; the corresponding figure for a would-be MLA is Rs 40 lakh. But, as a measure of actual expenditure, that amount appears to be only the tip of the iceberg.

While there is no official collation of the total expenditure in the 2019 general election, an analysis done by the Association for Democratic Reforms found that, on average, every winning candidate spent Rs 58 lakh—well within the full amount of Rs 70 lakh permitted then. There were 8,048 candidates in the fray for that election and, assuming all candidates spent the same amount, the total candidate expenditure during that election would be Rs 4,667 crore. If we add the declared expenditure of Rs 2,591 crore by the 32 national and regional parties in the 2019 polls, the amount escalates to just over Rs 7,000 crore. But the Delhi-based Centre for Media Studies (CMS) pegged the overall expenditure in the 2019 general election, minus the estimated amount spent by the Election Commission to conduct the polls, at around Rs 47,000 crore—close to seven times that amount. Even more worryingly, the CMS figures suggest a 60 per cent increase in election expenditure as compared to the 2014 general election.

Clearly, with even the electoral bond scheme found wanting, the country is now again faced with the issue of how to make election funding fair, transparent and accountable. Executive Editor Kaushik Deka's cover story, 'Election Funds: How to Clean It Up', undertakes a multi-segmental analysis to come up with possible answers. State funding is an option that crops up frequently. Between 1998 and 2008, three of the four official Indian committees/commissions that examined the issue endorsed the idea. It's also the practice in 86 per cent of the countries in Europe, 71 per cent in Africa, 63 per cent in the Americas and 58 per cent in Asia—and they offer a perfect opportunity to examine the pros and cons. A study found that about 70 countries, including Germany, Japan and Israel, peg the ratio of contributions to each party to the percentage of votes it secures. Critics point out that this privileges legacy parties and imposes a higher entry barrier for new formations. Imagine an Aam Aadmi Party a decade ago that clearly had the popular consent on its side to some extent but was yet to demonstrate it electorally. To penalise such a party for that would be to favour the status quo. Not an element you would want in a blueprint for reform.

Also, state funding has effectively curbed the play of private money only in a handful of countries. As former chief election commissioner N. Gopalaswami tells us, "State funding will make no difference unless the cap on election expenditure is strictly enforced." The other option is to be realistic about private funding and move it out of the shadows. Corporate funding is not a malign force by itself. All we need is to build in the features the electoral bond scheme lacked: transparency and openness, mechanisms for disclosure and scrutiny to keep out anonymous, unaccounted-for money and enough for every deserving party to be seen and heard. Electoral funding is like capital expenditure for democracy. Free and fair elections are the bedrock of any democracy and India's conduct of elections is a wonder of the world. It should remain so.



(Aroon Purie)